MONEY AND BANKING

QUICK REVISION

Exchange means act of give and take. There are two types of exchanges:
1. Barter Exchange,
2. Monetary Exchange.

MONEY

Kinds of Money

Money is the most useful and necessary invention. It has undergone a long process of evolution:

1. Commodity Money

2. Metallic Money: Upto first half of the 18th century, the medium of exchange were metals' coin particular gold and silver, copper, nickel etc. Metallic money is further classified into standard money, token money and subsidiary money.

(i) Standard Money: Standard money is that whose face value is equal to their intrinsic value. Holder of such coins may use them as metal by melting them or as money, because the value of the metal in the coins is the same as their monetary value. Standard money is therefore known as full bodied money.

(ii) Token Money: Token money is representative money whose intrinsic value of the metal is less than its face value. The rupee coin in circulation in India is a token coin.

(iii) Subsidiary Money: Subsidiary money is to assist the token money. All coins of the denominations from 5 paisa to 25 paisa in India are subsidiary money. Such coins are limited legal tenders in which payments can be done only upto 25 in India.

3. Paper Money: From 1930's onward most countries are using paper currency as a prominent and nearly exclusive medium of exchange. Paper money can be classified into the following types:

(i) Representative Paper Money: It is also known as representative full bodied money because it is fully backed by gold coins or gold bullion held by the treasury.

(ii) Convertible Paper Money: Convertible paper money is that which does not have 100 per cent backing in the form of standard coins or bullion. But the holder of paper money can get it converted into bullion or coins on demand.

(iii) Inconvertible Paper Money: The paper money which does not have any backing of standard coins or bullion and is also not convertible into them is known as inconvertible paper money. Notes issued by Central Banks of all countries represent inconvertible paper money. They are also known as fiduciary money.

(iv) Fiat Money: Fiat money is a type of money widely accepted all over the world. Fiat money has no intrinsic value, but having value for making transactions which promised by Government or currency issuing authority. It is the existing type of money in the world. Fiat money is a legal tender.

Money which the state and people accept as the means of payment and for discharge of debts is known as legal tender. All notes and coins issued by the Government and the Central Bank of a country are compulsorily a legal tender in that country. It can be further divided into two parts:

(a) Limited Legal Tender: It is a type of money through which payments can be made legally upto a certain limit only. All coins of the denominations of 5 paisa to 50 paisa are limited legal tender in India. Payments in them can be made upto a limit of 50 only.
(b) Unlimited Legal Tender: A money is unlimited legal tender when payments can be made in it in unlimited amount. All paper notes and coins above 50 paise and 1 are unlimited legal tender in India.

(v) Credit Money/Bank Money: It refers to the deposits in the bank. Credit money or bank money is transferred by a commercial bank in the form of cheque or draft. But a cheque or draft is not money. Demand deposits in a bank is money which is withdrawable by a holder of the deposit through cheque or draft. Thus, it is demand deposit which is credit or bank money that is transferable from one person to another through cheque or draft, but a cheque or draft is not legal tender and may not be accepted as a medium of exchange or means of payment.

(vi) Near Money: Deposit money, bonds, securities, debentures, bills of exchange, treasury bills, insurance policies, etc. are known as near money.
(vii) Plastic Money: All kind of cards like credit and debit cards are known as plastic money.

Money: Meaning and its Functions

Meaning of Money: According to Walker, "Money is what money does"?
According to Seligman, "Money is one thing that possess general acceptability".
According to Cole, "Money is anything that is habitually and widely used as a means of payment and its generally acceptable in the settlement of debts".

1. Primary Functions
The two primary functions of money are to act as a medium of exchange and a measure of value.
(1) Medium of Exchange: This is the central function of money. For performing this function, money should have general acceptability. Medium of exchange simply refers using money for buying and selling goods and services.
(ii) Measure of Value: Money serves as a unit of account. It measures the value of economic goods. Money works as a common denominator into which the values of all goods and services are expressed. When we express the value of a commodity in terms of money is known as price.

2. Secondary Functions
(i) Store of Value: Wealth can be stored in the form of money. Money can be stored without loss in value. Savings are secured and can be used whenever there is need. In this way, money acts as a bridge between the present and the future.
(ii) Standard of Deferred Payment: Credit has become the life and blood of a modern capitalist economy. In millions of transactions instant payments are not made. The debtors make a promise that they will make

payment on some future date. It has become possible because money has general acceptability its value is stable, durable and homogeneous.

(ii) Transfer of Value: Value of any asset can be transferred from one person to another person or to any institution or to any place by transferring money. The transfer of money takes place irrespective of places, time and circumstances. Transfer of purchasing power, which is necessary in commerce and other transactions, has become available because of money.

3. Contingent Functions

(i) Basis of Credit.
(ii) Basis of Distribution of Income.
(iii) Maximisation of Satisfaction.
(iv) Liquidity: It is again through money transaction that immovable property can be changed into liquid form. Money helps to bring about liquidity and uniformity of wealth.
(v) Best Utilisation of Resources: Money helps in utilising all the resources to the fullest.

Money Supply: Meaning and Its Measures

Meaning of Money Supply: The supply of money means the total stock of all the forms of money supply (paper money, coins and bank deposits) which are held by the public at any particular point of time. Two points need to be noted in this connection: (i) Supply of money is a stock variable because it is related to a point of time, (ii) Stock of money always refers to the stock of money held by the public which is always smaller than the total stock of money in existence.

Here, the term public includes all economic units like households, firms, local administration and banking financial institutions, etc. except producers of money and the producers of money are Central Government, RBI and all the banks which accept demand deposits.

Measures of Money Supply (Money Stock): In India RBI uses four alternative measures of money supply called M1, M2, M3 and M4.

(i) $M_1 = C + DD + OD$

where C = Currency held by public,
DD Net demand deposits of the bank,
OD = Other deposits held with the RBI.

These are the deposits of quasi Government institutions like industrial development, Bank of India, IMF, World Bank, etc. with RBI.

M1 is a narrow definition of money. My is the most liquid and easiest for transactions.

(ii) M_2=M1+Saving deposits with post office saving banks. M_2 is also narrow money but broader than M_1. In addition to M1, it also includes saving deposits with post office saving bank.

(iii) M3: M3 is broad money. It is most commonly used measure of money supply. M3-M1 + Net time deposits with the commercial banks.

(iv) M4: M4 money supply is still broader. It is broader than Mg.

M4 = M3+ Savings with post offices (other than in the form of National saving certificates).

Important Facts about Measures of Money Supply:
(i) The four measures of money supply represent different degrees of liquidity, with M, being most liquid and M4 being the least liquid.
(ii) My is widely used as a measure of money supply and it is known as aggregate monetary resources of the society.
(iii) My and M_2 are generally known as narrow money supply concepts, whereas M3 and M4 are known as broad money supply concepts.

High Powered Money: It includes currency with the public and cash reserves with the banks.
The difference between money and high powered money lies in the fact that money consists of currency and demand deposits while high powered money consists of currency and cash reserves with banks.

BANKING

Commercial Bank
A commercial bank is that financial institution which accepts deposits from the people, gives loans for various purposes and performs various agency functions.

Functions of Commercial Bank
1. Acceptance of Deposits: The bank accepts different types of deposits from the public:
(i) Current Account Deposits.
(ii) Saving Account Deposits.
(ii) Fixed/Term Deposits.
(iv) Recurring Deposit Accounts.
(v) Fixed Deposit Accounts.

2. Giving Loans: The deposits received by the banks are not allowed to lie idle by the bank After keeping a certain portion of the deposits as reserves, the bank gives the balance to borrowers as loans and advances. The different types of loans and advances made by the banks are as follows:
(i) Cash Credit.
(ii) Demand Loan or Outright Loan.
(iii) Short Term Loans.
(iv) Overdraft Facility.
(v) Discounting of Bills of Exchange.
(vi) Facilitation of Payments through Cheques.
(vii) Transfer of Funds: Banks help in remittance or transfer of funds from one place to another through the use of various credit instruments, like cheques, drafts, mail transfer and telegraphic transfers.
(viii) Agency Functions: Banks provide various agency functions for their customers. The banks charge commission or service charge for such functions.
(ix) General Utility Services: They perform miscellaneous services for the benefit of the customers. They act as custodians of the valuables of the customers. They provide locker facility to their customers and take some service charges for it.

(x) Credit Creation: A very important and unique function of the commercial banks is to create credit. In the process of acceptance of deposits and granting loans, commercial banks are able to create credit. This means they are able to grant more loans than the amount of initial or primary deposits made by the customers.

Central Bank

The Central Bank is the head of banking system of a country. It is banker to the other banks and to government, it issues notes, controls credit and maintain monetary stability.

Functions of Central Bank:

1. Issue of Currency: The Central Bank is given the sole monopoly of issuing currency in order to secure control over volume of currency and credit.

2. Banker Fiscal Agent and Adviser to the Government: As banker to the Government the Central Bank keeps the deposits of the Central and State Government. But it does not pay interest on Government deposits. As a fiscal agent the Central Bank makes short term loans to the Government for a period not exceeding 90 days.It floats loans, pays interest on them and finally repays them on the behalf of the Government. Thus, it manages the entire public debt.

As an adviser Central Bank gives advices to the Government on money matters like inflation, deflation, devaluation,

etc.

3. Banker's Bank: It performs the function of a banker to all other banks in the country. Central Bank has almost the same relation with all other banks as a Commercial Bank has with its customers.

4. Controller of Credit: It is an important function of a Central Bank that it should adopt and enforce a proper monetary policy which may serve the best interest of the country.

5. Exchange Control: Another duty of a Central Bank is to see that the external value of currency is maintained.

6. Lender of Last Resort: The Central Bank is under the obligation to provide funds to commercial banks as and when they need financial help.

7. Clearing House Function: Banks receive cheques drawn on the other banks from their customers which they have to realise from drawee banks. Similarly, cheques on a particular bank are drawn and pass into the hands of other banks which have to realise them from the drawee banks.

8. Collection and Publication of Data: It has also been entrusted with the task of collection and compilation of statistical information relating to banking and other financial sectors of the economy.

Monetary Policy or Credit Control Policy

Monetary policy is the policy of the Central Bank to regulate the availability, cost and use of money for achieving certain given objectives of the economic policy. Monetary policy is also known as credit policy. The main objectives of monetary policy are:

(i) Price Stability.

(ii) Attainment of Full Employment.

(iii) Balance of Payments Equilibrium.

(iv) Stability in the Rate of Foreign Exchange.

(v) Growth with Equity.

The principal instruments employed by any Central Bank can broadly be grouped into the following two categories:

1. Quantitative Method: Quantitative method refer to those methods of credit control which are used by the Central Bank to influence the cost and total volume of credit without regard for the purpose for which the credit is put. The important quantitative methods are:

(i) Bank Rate Policy: The bank rate or the discount rate is the rate at which the Central Bank gives loans to the commercial banks or rediscounts the approved first class bills of exchange and Government securities held by the commercial banks.

(a) Repo Rate: It is the rate at which RBI lends money to commercial banks. It is an instrument of monetary policy. Whenever banks have any shortage of funds they can borrow from the RBI.

(b) Reverse Repo Rate: It is the rate at which RBI borrows money from commercial banks. Banks are always happy to lend money to the RBI, since their money are in safe hands with a good rate of interest. It is a tool which can be used by the RBI to drain excess money out of the banking system.

(ii) Open Market Operations: Open market operations refer to the sale and purchase of Government and other approved securities by the Central Bank in the money and capital markets.

(iii) Cash Reserve Ratio: Banks are obliged to maintain reserves with the Central Bank on two accounts: (a) CRR and (b) SLR.

(a) Cash Reserve Ratio (CRR): Under CRR the banks are required to deposit with the Central Bank a percentage of their net demand and time liabilities. Varying the CRR is a tool of monetary and credit control. An increase in CRR will decrease the credit creation and vice-versa.

(b) Statutory Liquidity Ratio (SLR): It is a specified percentage of net deposits of the banks, which the banks have to maintain in the form of designated liquid assets. Increasing the SLR reduces the ability of banks to give credit and vice-versa.

2. Qualitative or Selective Credit Control: Qualitative or selective methods are those methods which are used by the Central Bank to regulate the flow of credit into particular directions of the economy. It is because of this reason it is known as selective controls. The important qualitative methods of credit control are:

(i) Regulation of Marginal Requirement
(ii) Regulation of Consumer Credit
(iii) Rationing of Credit
(iv) Issue of Directives
(v) Moral Suasion
(vi) Direct Action
(vii) Publicity

1 MARK QUESTIONS

A. FILL IN THE BLANKS

1. Exchange of goods for goods is known as _____ .
2. Barter Economy is also known as _____ economy.
3. Money which can be legally used to make payments of debts is known as _____ .
4. Coins in India are known as _____ legal tender .

5. Near money is not a _____ tender .
6. _____ and _____ are primary functions of money.
7. Standard of deferred payments of money is a _____ function of money.
8. Money supply follows a _____ concept .
9. M1 = _____ + _____ + _____ .
10. M_2 = _____ + _____ .
11. M3 = _____ + _____ .
12. M4= _____ + _____ .
13. Currency includes _____ + _____ .
14. Bank money is not a _____ .
15. Paper money in India is regulated and controlled by _____ .
16. _____ is the value of metal used to make the unit of a money.
17. The apex institution in the money market is _____ .
18. Overdraft facility is available for _____ holders only.
19. Commercial Bank creates _____ .
20. _____ is known as lender of the last resort.
21. Central Bank enjoys the monopoly of _____ .
22. Buying and selling of government securities by Central Bank is known as _____ .
23. Margin requirement is the difference between _____ and _____ .
24. Credit control policy is also known as _____ .
25. Qualitative credit control is also known as _____ .

ANSWERS

1. Barter Exchange	2. CC economy	3. Legal tender	4. Limited legal tender
5. Legal tender	6. Medium of exchange and measure of value	7. Legal tender Secondary	8. Stock
9. C+DD+OD	10. My saving deposits with post offices	11. M1+ Net time deposits with the commercial	12. M3+ savings with post offices banks
13. Paper notes + Coins	14. Legal tender	15. Reserve Bank of India	16. Intrinsic value
17. Central Bank	18. Current Account	19. Credit	20. Central Bank
21. Note issue	22. Open Market Operations	23. Security money, loan sanctioned	24. Monetary Policy
25. Selective credit control	26. C+S	27. C+1	28. C+S

B. TRUE OR FALSE

1. Currency created by Central Bank is called bank money.
Ans. [False] Because currency created by RBI is known as high powered money.

2. Money supply is a flow concept.
Ans. [False] Because it follows a stock concept as it is measured at a point of time.

3. Reverse repo rate is the rate at which Central Bank lends funds to banks.
Ans. [False] As reverse repo rate is the rate at which commercial banks give loan to the RBI.

4. Legal tender money has a legal sanction behind it by the government.
Ans. [True] Because no one can refuse to accept it as non-acceptance is an offense.

5. Legal reserve ratio is that ratio of deposits which banks are legally bound to keep in the form of case with themselves and with the Central Bank.
Ans. [True] The percentage of deposits that banks keep themselves is called SLR and what they keep with Central Bank is called CRR.

6. Cash and coins are known as bank money.
Ans. [False] As cheques and drafts are known as bank money and cash and coins are known as currency.

7. RBI produces money while commercial banks increase the supply of money.
Ans. [True] Because commercial banks can only increase the supply of money by creating credit.

8. Commercial banks play no role in the stock of money supply in the economy.
Ans. [False] Because commercial banks contribute to the stock of money supply by way of credit creation.

9. Fiat money is the same as fiduciary money.
Ans. [False] Because fiat money is the money backed by the order of the government, but fiduciary money is the money backed by the mutual trust between the payer and the payee.

10. CRR and SLR are opposite of each other.
Ans. [False] Because both are complementary to each other.

11. Government of India has monopoly right over the issue of currency.
Ans. [False] RBI has monopoly rights over note issue system.

12. Monetary policy is designed by Government of India.
Ans. [False] Monetary policy is designed and executed by Reserve Bank of India.

13. Credit creation is primarily made by the Central Bank of the country.
Ans. [False] Credit creation is primarily done by commercial banks of the country.

14. All financial institutions are treated as banking institutions.
Ans. [False] Because a financial institution can be termed as a bank only if it performs functions of:
(i) accepting deposit,
(ii) advancing loan.

15. Current account is a type of term deposit.
Ans. [False] As it is a demand deposit.

C. MULTIPLE CHOICE QUESTIONS

MONEY AND ITS FUNCTION

1. Money must have one of the following characteristics:
(a) general acceptability
(b) made of precious metal
(c) both of these
(d) none of these

2. What do we call present monetary system?
(a) Gold standard
(b) Metallic currency
(c) Proportional system
(d) Managed paper currency

3. What is the major drawback of barter system?
(a) Double coincidence of wants
(b) Indivisibility
(c) Problem of common denomination
(d) All of these

4. Which of the following systems has the problem of store of value?
(a) Barter system
(b) Monetary system
(c) Gold standard
(d) None of these

5. What happens in barter system?
(a) Exchange of goods with money
(b) Exchange of goods with goods
(c) Both of these
(d) None of these

6. Which of the following money was firstly found in the India?
(a) Metallic money
(b) Animal money
(c) Paper money
(d) Bank money

7. At present which of the following money is prevailing?
(a) Metallic money
(b) Paper money

(c) Paper and bank money
(d) Paper money , bank money and plastic money

8. Which of the following figure is essential for money?
(a) General acceptability
(b) Unit of account
(c) Medium of exchange
(d) All of these

9. What is meant by money as a "Unit of Account"?
(a) Standard of measuring of money
(b) Common denomination
(c) Both (a) and (b)
(d) None of these

10. What are primary functions of money?
(a) Medium of exchange
(b) Unit of account
(c) Both (a) and (b)
(d) None of these

11. What are secondary functions of money?
(a) Standard of deferred payments
(b) Common denomination
(c) Transferability of value
(d) All of these

12. What is meant by standard of deferred payments?
(a) Payment of goods
(b) Present payment of goods
(c) Future payments
(d) None of these

13. Which type of function is the store of value function of money?
(a) Primary
(b) Secondary
(c) Contingent
(d) None of these

14. What symbolises rupee?
(a) Rs
(b) $
(c) ₹
(d) None of these

15. How is the value of money measured?
(a) Through satisfaction
(b) Through prices
(c) Through rate of interest
(d) Any of these

16. Which type of function of money is the distribution of national income?
(a) Primary
(b) Secondary
(c) Contingent
(d) Any of these

17. Classical economists gave importance to which function of money?
(a) Store of value
(b) Medium of exchange
(c) Unit of account
(d) Transferability

18. Keynes gave importance to which function of money?
(a) Store of value
(b) Medium of exchange
(c) Unit of account
(d) Transferability of value

19. In India which of the following type of money prevails?
(a) Convertible paper currency
(b) Inconvertible paper currency
(c) Both of these
(d) None of these

20. Money is, what money does, who said these words?
(a) Hartly Whithers
(b) Coulbourn
(c) Thomas
(d) Fisher

ANSWERS

1.a	2.d	3.d	4.a	5.b	6.b	7.d	8.d	9.c	10.c
11.d	12.c	13.b	14.c	15.b	16.c	17.b	18.a	19.b	20.a

SUPPLY OF MONEY AND CREDIT CREATION

1. In India who supplies money?
(a) State Bank of India
(b) Reserve Bank of India
(c) Government of India
(d) None of these

2. Which of the following is a component of money?
(a) Bank deposits
(b) Currency
(c) Deposits with other bank
(d) All of these

3. Which of the following additional components is required for broad money?
(a) Currency
(b) Near money
(c) Time deposits
(d) Bank deposits

4. Which of the following institutions create credit?
(a) Central Bank
(b) Commercial Banks
(c) Government of India
(d) All of these

5. Which of the following factors determines extent of
(a) Cash reserve ratio
(b) Bank rate
(c) Marginal requirement ratio
(d) All of these

6. If cash reserve ratio is 10%, then credit multiplier would be:
(a) 5
(b) 2
(c) 10
(d) None of these

7. How narrow money is labelled in India?
(a) M1
(b) M2
(c) M3
(d) M4

8. How do we label broad money in India?
(a) M1
(b) M2
(c) M3
(d) M4

9. Which factors are required for credit creation?
(a) Primary deposits
(b) Cash reserve ration
(c) Availability of good natured securities
(d) All of these

10. Credit creation is also known as:
(a) money creation
(b) deposit creation
(c) both of these
(d) none of these

ANSWERS

1.b	2.d	3.c	4.b	5.a	6.c	7.a	8.c	9.d	10.c

Central Banking

1. What is the name of Central Bank of India?
(a) State Bank of India
(b) Reserve Bank of India
(c) Janta Bank
(d) None of these

2. Who has the right of issue the note in India?
(a) State Bank
(b) RBI
(c) Central Bank
(d) None of these

3. When was RBI stablished in India?
(a) 1935
(b) 1835
(c) 1962
(d) 1980

4. Which of the following acts as a Government's Bank in India?
(a) State Bank of India

(b) Reserve Bank of India
(c) Janta Bank
(d) None of these

5. Which of the following is a "lender of last resort' for commercial banks?
(a) State Bank
(b) RBI
(c) Punjab National Bank
(d) Dena bank

6. Who has the ownership upon commercial banks?
(a) Private sector
(b) Public sector
(c) Public and private sector
(d) None of these

7. Who is custodian of Foreign Exchange reserves?
(a)RBI
(b) Bank of Baroda
(c) State Bank of India
(d) None of these

8. What was the objective of establishing RBI?
(a) Earning income
(b) Public welfare
(c) Monetary management
(d) None of these

9. Which of the following banks acts as a clearing house?
(a) HDFC Bank
(b) State Bank
(c) RBI
(d) None of these

10. Who controls credit in India?
(a) RBI
(b) State Bank
(c) Government of India
(d) Anyone of these

11. Who can change bank rate in India?
(a) Finance Minister
(b) RBI
(c) Government of India

(d) None of these

12. Who designs monetary policy in India?
(a) Finance Minister
(b) RBI
(c) Government of India
(d) HDFC Bank

13. Who performs the function of open market operation?
(a) Govt. of India
(b) RBI
(c) State Bank of India
(d) Finance Minister

14. Who deals with public in India?
(a) Central Bank of the country
(b) Commercial Banks
(c) RBI
(d) All of these

15. Who can change the repo rate and reverse repo rate?
(a) Government of India
(b) Finance Minister
(c) State Bank
(d) RBI

16. What is the name of Central Bank of USA?
(a) Bank of America
(b) Reserve Bank of America
(c) Federal Reserve System
(d) Development Bank of America

17. Name a technique of credit control adopted by RBI:
(a) changes in bank rate
(b) changes in open market operation
(c) changes in cash reserve ratio.
(d) All of these

18. Who is the financial agent of the Government of India?
(a)State Bank
(b) RBI
(c) Punjab National Bank
(d) ICICI Bank

ANSWERS

1.b	2.b	3.a	4.a	5.b	6.c	7.a	8.c	9.c	10.a
11.b	12.b	13.b	14.b	15.d	16.c	17.d	18.b		

D. ASSERTION-REASON TYPE

Read the following statements-Assertion (A) and Reason (R), and select the correct alternative in each case:

Read the following statements-Assertion (A) and Reason (R), and select the correct alternative in each case:
(a) Both (A) and (R) are true and (R) is the correct explanation of A.
(b) Both (A) and (R) are true but (R) is not the correct explanation of A.
(c) (A) is true but (R) is false.
(d) (A) is false but (R) is true.

1. Assertion (A) : Currency of a country is known as legal tender.
Reason (R) : Legal tender is of two types limited and unlimited.

2. Assertion (A) : Supply of money follows stock concept
Reason (R) : Stock is something which is measured at a point of time.

3. Assertion (A) : LIC is not a bank as it does not accept cheque able deposits from the public but lends money.
Reason (R) : Bank is an institution which accepts deposits and lends money.

4. Assertion (A) : CRR and credit creation are directly related to each other. Higher CRR, higher will be the credit creation.
Reason (R) : Money Multiplier = 1/CRR

5. Assertion (A) : Central Bank is the sole authority for issue of currency in a country.
Reason (R) : In India Reserve Bank of India has the monopoly of note issue.

ANSWERS

1.b	2.a	3.a	4.a	5.b

2 MARK QUESTIONS

1. Define money.
Ans. According to Crowther, "anything that is generally acceptable as a means of exchange and at the same time acts as a measure and store of value", can be considered as money.

2. Mention two primary functions of money.
Ans. The two primary functions of money are:
(i) Money acts as a medium of exchange and
(ii) Money acts as a measure of value.

3. State any one of the secondary functions of money.
Ans. One of the secondary functions of money is that it acts as a standard of deferred payment.

4. Mention one of the contingent functions of money.
Ans. One of the contingent functions of money is that it assists the producers in taking production decisions.

5. What is a token money?
Ans. If the face value of money exceeds its intrinsic value, it is called a token money.

6. What do you mean by 'flat' money?
Ans. When the value of the currency notes and coins is derived from the guarantee provided by the issuing authority (say, the RBI), then those currency notes and coins are called "fiat" money.

7. What is a legal tender?
Ans. When the currency notes and coins of a country cannot be refused by its citizens for the settlement of any type of transaction, then these currency notes and coins are called as legal tender.

8. Define supply of money in an economy.
Ans. The supply of money in an economy refers to the stock of money held by the public at any particular point of time.

9. What are the constituents of M1, in the money supply of a country?
Ans. The M1, constitutes:
(i) The currency with the public,
(i) Demand deposits with the commercial banks and
(iii) Other deposits with the Central Bank.

10. What do you mean by 'High-Powered money??
country?
Ans. The high-powered money refers to the total liability of the monetary authority (say, the RBI) of the country.

11. Define a Central Bank.
Ans. The bank which acts as the banker of all the banks, the banker to the Government and has the sole authority to regulate the money supply of the country, is considered as the Central Bank (say, the Reserve Bank of India).

12. State any one important function of the Central Bank of a country.
Ans. The principal function of the Central Bank of a country is to issue notes or paper currencies.

13. Which bank is considered as the 'lender of the last resort' for all commercial banks?
Ans. The Central Bank of a country is considered as the 'lender of the last resort'.

14. Name two instruments of the quantitative credit control policy of the Central Bank.
Ans. The bank rate and the Cash Reserve Ratio (CRR) are the two instruments of the quantitative credit control policy of the Central Bank.

15. Name two instruments of the qualitative credit control policy of the Central Bank.
Ans. The differential rates of interest and the margin money requirement are the two instruments of the qualitative credit control policy of the Central Bank.

16. What do you mean by open market operations?
Ans. It indicates the purchase and sell of Government securities by the Central Bank for regulating the money supply in the economy.

17. How does the Central Bank change the Cash Reserve Ratio (CRR) to control the inflationary pressure?
Ans. The Central Bank raises the CRR to control the inflationary pressure.

18. What is meant by the Cash Reserve Ratio (CRR)?
Ans. The proportion of net demand and time deposits which the commercial banks are to keep as reserve with the Central Bank, is called as the CRR.

19. What do you mean by the barter system?
Ans. The system of direct exchange between different commodities and services is known as the barter system. For instance, one horse may be exchanged for two quintals of wheat crop, or one buffalo may be exchanged for two cows, etc. so, money, at a medium of exchange, had no place in this system.

20. What is money?
Ans. Different economists have defined money in different ways. However, they agree so far as the functions of money is concerned. Hence, it is the best to define money in terms of its four basic functions. Therefore, money is anything which acts as a medium of exchange, a measure of value, a standard of deferred payment and a store of value.

21. Explain the 'store of value' function of money.
Ans. Wealth is usually kept in the form of money, since money is the most liquid form of asset. Savings in the form of money, can be used for purchasing different goods and services. Hence, this is considered as the store of value function of money.

22. Explain the 'standard of deferred payment' function of money.
Ans. Deferred payments imply those payments which are to be made in future. If somebody takes a loan at present, it has to be repaid in future along with interest. Money performs this function of deferred payments without much difficulty.

23. What do you mean by commercial banks?
Ans. The banking organisations which accept deposits from the public, lend money to the business firms and their clients and facilitate the creation of credit money through their loan-giving operations, are considered as commercial banks. For example, the Punjab National Bank, the United Bank of India, the State Bank of India etc. are the commercial banks.

24. To whom does the phrase "lender of the last resort' allude and why?

Ans. The phrase 'lender of the last resort' alludes to the Central Bank of the country. The reason is that, just as the public can borrow from commercial banks, the commercial banks can borrow from the Central Bank, if they need loans. However, the Central Bank usually insists that the commercial banks should first explore other sources of loans. It would grant loans to banks only when all other sources of loans have been exhausted.

25. What is the bank rate?

Ans. The bank rate is that discount rate at which the Central Bank rediscounts different bills of exchange submitted by commercial banks, while taking loans from the Central Bank. Simply speaking, the bank rate is the rate of interest at which the Central Bank lend money to commercial banks. It is regarded as an instrument of the credit control policy of the Central Bank.

26. What do you mean by quantitative credit control?

Ans. This signifies the credit control policy of the Central Bank of any country, which wants to control the total volume or total quantity of credit-flow within the economy. Some of the important instruments of this credit control policy are: bank rate, open market operations, cash reserve ratio, etc. through these instruments, the Central Bank wants to control the inflationary or deflationary pressures in an economy.

27. Explain the term 'qualitative on/selective credit control'.

Ans. This is a particular variety of the credit control policy of the Central Bank of any country. It wants to control the flow of credit on the basis of the quality of credit, i.e., on the basis of the purpose for which the credit facility is extended by commercial banks or on the basis of the credit worthiness of the borrowers in a selective manner. According to this policy guidelines, commercial banks can charge relatively higher rates of interest while giving loans to the richer sections of the people and relatively lower interest rates in the case of the poorer section of the people .

28. How do commercial banks create credit money?

Ans. Although commercial banks cannot print money, these banks do create money. Money is created by giving credit. Cheques drawn on bank deposit are used as money in the market. When a businessman approaches a bank for a loan, the bank creates an imaginary deposit in his name. He can draw cheques on this deposit. This is how banks create credit money now-a-days.

29. What is Statutory Liquidity Ratio (SLR)?

Ans. A part from the cash reserve requirements, all commercial banks in India under the Banking Regulation Act (1949), are to maintain liquid assets in the form of cash in hand, cash with other banks, gold and unencumbered approved securities equal to not less than 20 per cent of their total time and demand deposits with the RBI. This is known as 'Statutory Liquidity Ratio' (SLR).

30. Explain the term credit multiplier.

Ans. The amount of total deposits created by the banking system as a whole as a multiple of the initial increases in the primary deposit, is called the credit multiplier. If the increase in primary deposit ₹100 and the total deposit created by all commercial banks = ₹500, then credit multiplier = 500/100 = ₹5.

31. What are the constituents of money supply according to narrow approach?

Ans. Money supply = Coins + Currency notes + Bank's demand deposits.

3-4 MARKS

1. State two functions of money.
Or Explain the 'medium of exchange' and measure of value function of money.
Ans. Money acts as a medium of exchange. Different goods and services can easily be exchanged with one another in terms of money. For instance, the price of a horse, expressed in money terms, is 2,000 and that of a cow is 1,000. Thus, any person can sell his horse for 2,000 and with that amount of money, he can either purchase one or two cows. Money is also a measure of value (or the unit of account). The value of different goods and services can easily be expressedin money terms, and therefore, we can also make a comparison of the goods in terms of their value. It also helps us inestimating the value of total goods and services produced in a country during a year.

2. What are the different components of the supply of money?
Ans. The supply of money consists of various components. Some of these components are mentioned below:
M_1 = Currency with the public + demand deposits with the commercial banks + other deposits with the Central Bank.
M_2 M_2+ postal savings bank deposits.
M3 = M_1+(net) time deposits with the commercial banks.
M4 = M3+ total deposits with the postal savings organisations (excluding National Saving Certificates).

3. State two functions of a Central Bank.
Or Explain the functions of the Central Bank as a banker to the Government.

Ans. The Central Bank of country performs both regulatory and developmental functions. The following are the two important functions of Central Bank:

(i) Issuing Paper Notes: The Central Bank has the sole authority to print currency notes in a country.
(ii) Acting as a Banker to the Government: The Central Bank also acts as the banker to the Government. The Government maintains an account with the Central Bank. All types of income of the Government are deposited into this account and all the expenses of the Government are also incurred out of this account.

4. Mention any two factors which restrict the process of credit creation by the commercial banks.
Or Give any two limitations of the process of credit creation.
Ans. There are some factors which restrict the process of credit creation. Two such factors are:
(i) The proportion of total deposits which the commercial banks are to maintain as cash reserve with the Central Bank (if the Central Bank increases this cash reserve ratio then it restricts the capability of commercial banks to extend credits).
(ii) If a condition of economic depression prevails in the economy (when the entrepreneurs do not want to invest more and are reluctant to take fresh loans from the banks).

5. Mention two important functions of a Commercial Bank.
Ans. Two important functions of a Commercial Bank are as follows:

(i) The primary function of a Commercial Bank is to accept deposits from the people, e.g., fixed deposits, current deposits and saving deposits. Except for current deposits, the bank gives interest on all such deposits.
(ii) Another important function of a Commercial Bank is to provide credit facilities. It gives short and medium-term loans to different individuals or institutions against some collateral securities or by mortgaging some assets. The bank charges interest on such loans.

6. Briefly explain the function of discounting bills of exchange function of a commercial bank.
Ans. A bill of exchange is drawn by a creditor on the debtor specifying the amount of debt and also the date when it becomes payable. Such bills of exchange are normally issued for a period of 90 days. This means that the creditors cannot get it encashed from the debtors before the maturity of the 90 days period. However if the creditor needs money before the expiry of this 90 days period he can get it discounted from the bank. The bank makes payment to the creditor after deducting the commission. When the bill matures the bank will get payment from the debtor. Thus, by discounting bills, the bank pays money to the creditor when he needs it and allows the debtor to make payment only when the bill is due for payment.

7. Explain clearing house function of a Central Bank.
Ans. Every bank keeps cash reserves with the Central Bank. The claims of banks against one another can be easily and conveniently settled by simple transfers from and to their account. Supposing, bank 'A' receives a cheque of 10,000 drawnon bank 'B' and bank 'B' receives a cheque of 15,000 drawn on bank 'A'. The most convenient method of settling or clearing their mutual claims is that bank 'A' should issue a cheque amounting to 5,000 in favour of bank 'B', drawn on Central Bank. As a result of this transference, a sum of 5,000 will be debited to the account of bank 'A' and credited to the account of 'B'. There is no need of cash transactions between the banks concerned. It facilitates cash transaction across the entire banking system, it also reduces requirement of cash reserves of the commercial banks.

8. Explain 'banker to the Government' function of Central Bank.
Ans. (i) As a banker Central Banks has the obligation to undertake the receipts and payments of the Government and to carry out the exchange, remittance and other banking operations.
(ii) As an Agent: On behalf of the Government the Central Bank manages the Government debt and acts as registrar of Government stock and conducts the treasury bill tenders.
(iii) As an Advisor: Central Bank is able to judge the financial conditions of Government. Thus, it can provide valuable and appropriate advice to the Government so that it can take necessary remedial measures.

9. Explain following two functions of Central Banks:
(i) Custodian of Foreign Exchange reserves.
(ii) Lender of the last resort.
Ans. (i) Custodian of Foreign Exchange Reserves: The Central Bank is the custodian of country's stock of gold and international currencies. The Central Bank maintains the stability of exchange rate fixed by the Government. All earnings in foreign exchange transactions are to be deposited with the Central Bank and are routed through it. By the sale and purchase of foreign currencies in the market, Central Bank can bring the external value of the currencies in the market, Central Bank can bring the external value of the currencies at part with their internal values and help the Government to pursue a coordinated policy towards balance of payment situation in a country.

(ii) Lender of Last Resort: The Central Bank under the obligation is to provide funds to commercial banks when they need financial help. The aim is that no sound and genuine business transaction should be restricted due to shortage of funds. Commercial bank approaches the Central Bank as a last resort. The Central Bank advances necessary credit against eligible securities, subject to certain terms and condition. Central Bank never refuses to accommodate any eligible bank and help them to meet emergencies.

10. Explain the components of legal reserve ratio.

Ans. Components of legal reserve ratio banks are obliged to maintain reserves with the Central Bank on two accounts:

(i) The Cash Reserve Ratio (CRR) and (ii) Statutory Liquidity Ratio (SLR).

(ii) CRR: It refers to the minimum percentage of a bank's total deposits required to be kept with the Central Bank a certain percentage of their deposits. It is the form of cash reserves as a matter of law.

(iii) SLR: It is a specified percentage of the net deposits of the banks, which the banks have to maintain in the form of designated liquid assets. Varying the SLR affects the freedom of banks to sell Government securities or borrow against them from the Central Bank. Increasing the SLR reduces the ability of banks to give credit and vice-versa.

6-8 MARKS
QUESTIONS

1. Explain primary and secondary functions of money.

Ans. Primary Functions: The two primary functions of money are to act as a medium of exchange and a measure of value:

(i) Medium of Exchange: This is the central function of money. For performing this function, money should have general acceptability. Money as a medium of exchange divides the exchange transactions into two parts namely; sale and purchase. This function of money removes the double coincidence of wants for buying and selling. Medium of exchange simply refers using money.

(ii) Measure of Value: Money serves as a unit of account. It measures the value of economic goods. Money works as a common denominator into which the values of all goods and services are expressed. When we express the value of a commodity in terms of money is known as price.

Secondary Functions:

(i) Store of Value: Wealth can be stored in the form of money. Money can be stored without loss in value. Savings are secured and can be used whenever there is need. In this way, money acts as a bridge between the present and the future.

(ii) Standard of Deferred Payment: Credit has become the life and blood of a modern capitalist economy. In millions of transactions instant payments are not made .The debtors make a promise that they will make payment on some future date. It has become possible because money has general acceptability. Its value is stable, durable and homogeneous.

2. Explain contingent functions of money.

Ans. (i) Basis of Credit: Business transactions are either in cash or in credit,credit economises the use of money. But money is at the back of all credit. A commercial bank cannot create credit without having sufficient money in reserve.

(ii) Basis of Distribution of Income: Money facilitates the distribution of income among people. Total output of the country is jointly produced by a number of workers, landowners, capitalists and entrepreneurs so this will be distributed among them. Money helps in the distribution of national product through the system of wage, rent, interest and profit.

(iii) Maximisation of Satisfaction: Money helps consumers and producers to maximise their benefits. A consumer maximises his satisfaction by equating the prices of each commodity with its marginal utility. Similarly, a producer maximises his profit by equating the marginal productivity of a factor unit to its price.

(iv) Liquidity: It is again through money transaction that immovable property can be changed into liquid form. Money helps to bring about liquidity and uniformity of wealth.

3. Explain acceptance of deposits function of commercial bank.

Ans. Acceptance of Deposits: The bank accepts different types of deposits from the public:

(i) Current Account: Current Accounts are mainly meant for businessmen and are never used for the purpose of savings or investment. These deposits are the most liquid deposits and there are no limits for number of transactions or the amount of transactions in a day. The bank does not pay any interest on these deposits.On the other hand, banks charge certain service charges on such accounts. Cheque book facility is provided and the account holder can deposit all types of cheques and drafts in their name or endorsed in their favour by third parties.

(ii) Saving Account Deposits: These deposits combine the features of both current account deposits and fixed deposits. They are payable on demand and also withdrawable by cheque but with certain restrictions on the number of cheques. issued in a period of time. Interest is paid on the deposits in these accounts but the interest paid on saving account deposits is less than that of the fixed deposits. Till 24.10.2011, the interest on saving bank accounts was regulated by RBI and it was fixed at 4% on daily balance basis. However from 25.10.2011, RBI has deregulated saving fund account interest rates and now banks are free to decide the same within certain conditions imposed by RBI. These are the deposits whose main objective is to save.

(iii) Fixed/Term Deposits: These are the deposits for a fixed term varying from a few days to few years. They are not payable on demand and do not enjoy chequing facilities. The money deposited in such accounts become payable only on the maturity of the fixed period for which the deposit was initially made.

(iv) Recurring Deposit Accounts: These are popularly known as RD accounts and are special kind of term deposits and are suitable for people who do not have lump sum amount of savings, but are ready to save a small amount of money every month. In these accounts a depositor makes a regular deposit of an agreed sum over an agreed period, e.g., ₹ 100 per month for 5 years. Interest paid on this account is higher than the interest paid on saving account.

Recurring deposits are normally allowed for maturities ranging from 6 months to 120 months. A passbook is usually issued where in the person can get the entries for all deposits made by him and the interest earned.

(v) Fixed Deposit Accounts: The second type of term deposit is fixed deposit .In this type of deposit depositors make a deposit of some lump sum amount which they are not going to use it for some time and it is a surplus amount with them. This amount can only be withdrawn on maturity. If it is withdrawn in between then the interest paid on the deposit will be reduced.

4. Explain advancing loan function of a commercial bank.

Ans. The deposits received by the banks are not allowed to lie idle by the bank. After keeping a certain portion of the deposits as reserves, the bank gives the balance to borrowers as loans and advances. The different types of loans and advances made by the banks are as follows:

(i) Cash Credit: An eligible borrower is first sanctioned a credit limit and within that limit he is allowed to withdraw a certain amount on a given security. The withdrawing power depends upon the borrower's current assets, the stock statement of which is submitted by him to the bank as the basis of security. Interest is charged by the bank on the drawn or utilised portion of credit.

(ii) Demand Loan or Outright Loan: A demand loan is one that can be recalled on demand. It has no stated maturity. The entire loan amount is paid in lump sum by crediting it to the loan account of the borrower. Thus, the entire loan amount becomes chargeable to interest.

(iii) Short Term Loans: Short term loans are given against some security as personal loans to finance working capital or as priority sector advances. The entire amount is repaid either in one instalment or in a number of instalments over the period of time.

(iv) Overdraft Facility: An overdraft is an advance given by allowing a customer to overdraw his current account upto an agreed limit. The security for overdraft is usually financial assets of the account holder such as shares, debentures, life insurance policies, etc. Overdraft is a temporary facility and the rate of interest charged on the amount of credit used is lower than that on cash credit because the risk involved and service cost of such credit is less.

5. Explain the process of credit creation by Commercial Bank.

Or How does a Commercial Bank create money?

Or Explain the process of money creation by the commercial banks with the help of numerical example.

Ans. Credit Creation: Credit creation is one of the most significant functions performed by commercial banks. Credit is defined as finance made available by one party to another party on a certain rate of interest. Credit plays a crucial role in the monetary and business system.

Credit Creation Process: Depositors have current account in commercial banks and can meet their obligations through cheques. These banks have the power to expand or contract demand deposits. This power is known as credit creation of credit contraction. Whenever a bank gives as loan, it creates a deposit. Commercial banks are able to multiply loans and investment and then multiply deposits. A small volume of cash is the basic of multiplication of deposits, through multiplication of loans and advance. This is how commercial banks creates credit, e.g., credit creation by the banks.

Suppose primary deposits = 1,000

Cash Reserve Ratio = 20%

Stages	Deposits(₹)	Loans and Investment (in ₹)	Minimum Reserves (in ₹)
1	1000 (primary Deposit)	800	200
2	800	640	160
3	640	512	128
4	512	409.60	102.40

5	409.60	327.68	81.92
6	327.68	262.14	65.54
7	262.14	209.72	52.54
8	209.72	167.77	41.95
9	167.77	134.22	33.55
10	134.22	107.37	26.85
.....	.....	.....	.....
Up to n	5000	4000	1000

From the given table, it is clear that the total credit creation is always equal to primary deposits multiplied by the reverse of the Cash Reserve Ratio.
Total credit creation = Primary deposits x 1/Cash Reserve Ratio
Hence, according to above mentioned,
Total credit creation = 1000 x 1/1/5
= 100 x 5 = 5,000
In this way, banks can give loans many times over and above their cash deposits.

6. Give four agency functions of commercial banks.
Ans. The agency services provided by the commercial banks are:
(i) Remittance of Funds: Bank remit funds on behalf of their clients by mail transfers or demand drafts. These transfers give rise to exchange activities.
(ii) Collection of Funds: Banks also collect and pay the cheques, bills, promissory notes, dividend warrants, rents, income tax, insurance premium and other receipts and payments on behalf of their clients.
(iii) Purchase and sale of shares and securities on behalf of their customers.

(iv) Representation and Correspondence: Many time, banks procure passports, tickets for their customers and act as their Representatives.

7. Explain any four functions of Central Bank.
Ans. (i) Issue of Currency: The Central Bank is given the sole monopoly of issuing currency in order to secure control over volume of currency and credit. These notes circulate throughout the country as legal tender. RBI issues all currency notes in India from 2 and above. The monopoly of issuing notes vested in the Central Bank ensures uniformity in the notes issued which helps in facilitating exchange and trade with in the country.

(ii) Banker Fiscal Agent and Adviser to the Government: As banker to the Government the Central Bank keeps the deposits of the Central and State Government but it does not pay interest on Government deposits. As a fiscal agent the Central Bank makes short term loans to the Government for a period not exceeding 90 days .It floats loans, pays interest on them and finally repays them on the behalf of the Government. Thus, it manages the entire public debt.
As an adviser Central Bank gives advices to the Government on money matters like inflation, deflation, devaluation, etc.

(iii) Banker's Bank: It performs the function of a banker to all other banks in the country. Central Bank has almost the same relation with all other banks as a commercial bank has with its customers. Central Bank keeps part of the cash balances of all commercial banks as a deposit with a view to meet liabilities of these banks in

times of crises. These cash balances are kept by the commercial banks in two ways: (i) Part of cash balance with them, (ii) Another part with the Central Bank as deposits.

(iv) Controller of Credit: It is an important function of a Central Bank that it should adopt and enforce a proper monetary policy which may serve the best interest of the country.

8. Explain quantitative method of credit control.

Ans. Quantitative methods refer to those methods of credit control which are used by the Central Bank to influence the cost and total volume of credit without regarding for the purpose for which the credit is put. The important quantitative methods are:

(i) Bank Rate Policy: The Bank Rate or the discount rate is the rate at which the Central Bank gives loans to the commercial banks or rediscounts the approved first class bills of exchange and Government securities held by the commercial banks. The effect of change in bank rate is to change the cost of securing funds from the Central Bank. An increase in the bank rate increases the cost of borrowing from the Central Bank. This will reduce the ability of banks to create credit. A rise in the bank rate will then cause the banks to increase the rate at which they lend. This will then discourage businessmen and others from taking loans, thus it will be the reducing the volume of credit. A decrease in the bank rate will have the opposite effect. In actual practice, however the effectiveness of bank rate policy will depend on the following:

(a) There should be a close relationship between bank rate and other rates in the money market.

(b) There should be elasticity in the economy so that bank rate suitably affect cost prices, output and employment.

(c) International flow of capital should not be checked by artificial restrictions.

(ii) Open Market Operations: Open market operations refer to the sale and purchase of Government and other approved securities by the Central Bank in the money and capital markets. When the Central Bank intends to contract credit, it sells Government securities which are usually purchased either by commercial banks or by their customers. Consequently, cash reserve ratio with the banks are reduced and so their lending power. On the other hand, when the bank desires to expand credit in the economy, it starts purchasing such securities. Therefore, the policy of open market operations brings about a change in the total volume of credit created by the commercial banks.

(iii) Cash Reserve Ratio: Banks are obliged to maintain reserves with the Central Bank on two accounts: (i) CRR and (ii) SLR.

(a) Cash Reserve Ratio (CRR): Under CRR the banks are required to deposit with the Central Bank a percentage of their net demand and time liabilities. Varying the CRR is a tool of monetary and credit control. An increase in CRR will decrease the credit creation and vice-versa.

(b) Statutory Liquidity Ratio (SLR): It is a specified percentage of net deposits of the banks, which the banks have to maintain in the form of designated liquid assets. Increasing the SLR reduces the ability of banks to give credit and vice-versa.

9. Describe qualitative methods of credit control.

Ans. Qualitative or selective methods are those methods which are used by the Central Bank to regulate the flow of credit into particular directions of the economy. It is because of this reason it is known as selective controls. The important qualitative methods of credit control are:

(i) Regulation of Marginal Requirement: A margin is the difference between the amount of the loan and market value of the security offered by the borrower against the loan.If the margin imposed by the Central Bank is 40%, then the bank is allowed to give a loan only upto 60% of the value of the security. By altering the margin requirements the Central Bank can alter the amount of loans made against securities by the banks. Higher the margin requirement lower will be the credit creation, lower the margin requirement higher will be the credit creation.

(ii) Regulation of Consumer Credit: Under this method, a certain percentage of the price of the durable goods is paid by the consumers as the down payment and the remaining portion of the price is financed by the bank credit. The bank loan is realised from the consumer in instalments during a specified period of time. The Central Bank regulates the use of bank credit by consumers to buy durable consumer goods by influencing the amount of down payments and the maximum period of repayment.

(iii) Rationing of Credit: Rationing of credit may take two forms:
(a) The Central Bank may fix the maximum amount of loans and advances for every commercial bank.
(b) The Central Bank may fix the minimum ratios regarding the capital of a commercial bank to its total assets, i.e., fixing ceiling for specific categories of loans. This is called capital assets ratio.

(iv) Moral Suasion: Moral suasion means persuasion, request and appeal by the Central Bank to the member banks to expand or contract credit, as the situation demands. Through this method the Central Bank merely uses its moral influence on the commercial banks to follow its policies.

9. State the advantages of centralised cash reserves with the Central Bank.
Ans. The advantages of centralised cash reserves of commercial banks with the Central Banks are:
(i) This system results in effective utilisation of the cash reserves of the country.
(ii) It reinforces the confidence of public in the strength of the banking system of the country.
(iii) It enables the Central Bank to control credit creation (done by commercial banks) by changing the cash reserve requirement.
(iv) Commercial banks can get financial help from the Central Bank during temporary difficulties.
However, centralised reserve system is not favoured by commercial banks because it reduces their liquid funds and such reserves do not carry any interest.

QUESTIONS BASED ON DIFFERENTIATION

1. Differentiate between currency and deposit money.
Ans.

S.No.	Basis	Currency (Money)	Deposit (Credit) Money
1	Meaning	It is a medium of exchange and issued by the Central Bank of the country.	It is created by the commercial banks by giving loans to their clients.

2	Nature	It is a legal tender(the rupee notes and coins).	It is not a legal tender (since, one may not accept payment through cheques drawn on any commercial bank).

2. Differentiate between demand deposit and time/term deposit.

Ans. Current account deposits are called demand deposits which are payable on demand either through cheque or otherwise. Term deposits are called time deposits because they are only payable after the expiry of the specified period. Demand deposits do not carry interest whereas time deposits carry interest. Demand deposits are highly liquid whereas time deposits are less liquid. Demand deposits are chequable deposits whereas time deposits are not.

Tabular Differences

S.No.	Basis	Demand Deposit	Time/Term Deposit
1	Meaning	They are payable on demand. They can be withdrawn by cheques without any restriction.	These are deposits for a fixed period of time.
2	Interest of deposits	No interest is given on these deposits.	High rate of interest is given on such deposits.
3	Restrictions of Withdrawal	There is no restriction on their withdrawals.	There are restrictions on their withdrawals. Interest is paid on maturity.
4	Users	Businessman keeps demand deposits.	Households and firms keep time deposits.

3. Distinguish between Bank Rate and Repo Rate.

Ans. Bank Rate: The Bank rate or the discount rate is the rate at which the Central Bank gives loans to the commercial banks or rediscounts the approved first class bills of exchange and Government securities held by the commercial banks. The effect of change in bank rate is to change the cost of securing funds from the Central Bank. An increase in the bank rate increases the cost of borrowing from the Central Bank. This will reduce the ability of banks to create credit. A rise in the bank rate will then cause the banks to increase the rate at which they lend. This will then discourage businessmen and others from taking loans, thus it will be reducing the volume of credit. A decrease in the bank rate will have the opposite effect.

Repo Rate: It is the rate at which RBI lends money to commercial banks. It is an instrument of monetary policy. Whenever banks have any shortage of funds they can borrow from the RBI.

The repo rate and bank rate are almost similar except the difference that repo rate is applicable to short-term lending specially for overnight lending to banks by the Central Bank and governed by the short-term interest rates and inflation targets. But bank rate is applicable to long-term lending by the Central Bank and governed by the long-term interest rate and inflation targets.

4. Differentiate between Central Bank and Commercial Bank.

Ans.

S.No.	Basis	Central Bank	Commercial Bank
1	**Meaning**	The Central Bank is the head of banking system of a country. It is the banker to the other banks and to Government. It issues notes, controls credit and maintains monetary stability.	Commercial banks are those banks which perform all kinds of banking functions such as accepting deposits, advancing loans, credit creation and agency functions.

2	**Ownership**	The Central Bank is owned by the Government.	Commercial Bank is owned by share holders.
3	**Public dealing**	The Central Bank is a banker to the Government and does not engage itself in ordinary banking activities.	The commercial bank is a banker to the general public.
4	**Credit**	The Central Bank controls credit in accordance with the needs of business and economy.	The commercial banks create credit to meet the requirements of the business.
5	**Objective**	Primary aim of Central Bank is general public welfare.	Primary aim of Commercial Bank is to earn profit.

5. Distinguish between CRR and SLR.

Ans.

S.No.	Basis	Cash Reserve Ratio (CRR)	Statutory Liquidity Ratio (SLR)
1	**Meaning**	It is the ratio of a minimum cash reserve to total deposits that every commercial bank has to keep with the Reserve Bank of India (RBI).	It is the ratio of liquid assets (in the form of cash in hand, cash with other banks, gold and approved securities) to the total time and demand deposits that the commercial bank has to maintain with the RBI.
2	**Example**	The RBI can vary the CRR between 3-15%.	The RBI can vary the SLR between 20-40%.

6. Difference between qualitative and quantitative methods of credit control.

Ans.

S.No.	Basis	Qualitative Methods	Quantitative Methods
1	**Meaning**	These methods are discriminatory in nature in the sense that they differentiate between essential and non-essential uses of credit. These methods are mostly direct.	These methods influence the total volume of credit without differentiating between essential and non- essential uses of credit. These methods are mostly indirect and impersonal.
2	**Effect**	These methods necessarily affect both the lenders as well as borrowers.	These methods affect the lenders only.
3	**Instruments**	Marginal requirement, moral suasion, direct action, credit rationing.	Bank rate, open market operation, variable reserve ratio.

7. Distinguish between primary deposit and derivative deposit.

Ans. If any person or institution, out of its own initiative, deposits some amount of money with a commercial bank, this is called primary deposit with the bank. However, if the commercial bank gives loan to any individual or institution, then an account is opened by the bank against the name of that individual or institution. This is known as derivative deposit.

8. Differentiate between fixed deposit and recurring deposit.

Ans. In cash of fixed deposits, the depositors are to keep the amount of money with any commercial bank for a specified period and earn a given interest rate per annum. However, in case of recurring deposits, the depositors have to keep a fixed sum of money per month with any commercial bank. The accumulated amount along with accrued interest there on is repaid by the bank to its depositor after the maturity period.

CASE BASED QUESTIONS

CASE 1

The Reserve Bank of India is the Central Bank of India, which means it is at the apex of the banking structure of the economy. It is one of the main governing bodies and regulatory bodies in India and helps the government in its role as a business facilitator. The RBI was first established on the 1st of April 1935 and nationalised in 1949. The governing of the RBI is done in accordance to the RBI Act by the government. Its day to day affairs are taken care of by the Board of Directors who are chosen by the government. The RBI is the only authorised body that can issue currency in the country. So they print, distribute and regulate the flow of currency in the economy. The RBI provides the central and state government with basic banking functions and facilities like depositing money, remittances, etc. It can also make advances and provide loans to the government whenever necessary. It also supervises all other commercial banks in the country and provides financial assistance to these banks like short-term loans and advances. It is the function of the RBI to maintain the value of the rupee in the global economy. It does so by acting as the custodian of foreign exchange reserves in the country. It maintains enough reserves to battle against fluctuations. The RBI also maintains control of credit and money in the market. It uses qualitative and quantitative methods to either expand or contract the available credit in the economy according to circumstances.

Answer the following questions:

1. What is the difference between RBI and a commercial bank?
2. How does RBI work as a custodian of the foreign exchange?
3. Name the policy made by RBI to control the money supply in the economy.
4. RBI is known as the lender of the last resort. Why and for whom?
5. What are the three quantitative tools used by RBI to control credit?

Ans. 1.

S. No.	Central Bank	Commercial Bank
1.	The central bank is the apex institution of the monetary and banking structure of the country.	The commercial bank is one of the organ of the money market.

2.	The central bank is a non profit making institution.	The commercial bank is a profit making institution.
3.	The central bank is owned by the government	The commercial bank is owned by share holders.
4.	The central bank is a banker to the government and does not engage itself in ordinary banking activities.	The commercial bank is a banker to the general public.

2. The Reserve Bank of India, is the custodian of the country's foreign exchange reserves and is vested with the responsibility of managing their investment. The legal provisions governing management of foreign exchange reserves are laid down in the Reserve Bank of India Act, 1934.

3. Monetary policy.

4. The central bank is under the obligation to provide funds to commercial banks as and when they need financial help. The aim is that no sound and genuine business transactions should be restricted or abandoned due to shortage of funds. Commercial banks approach the central bank as last resort in distress.

5. Bank Rate Policy, Variable Reserve Ratio, Open Market Operations.

CASE 2

The money supply is all the currency and other liquid instruments in a country's economy on the date measured. The money supply roughly includes both cash and deposits that can be used almost as easily as cash. Governments issue paper currency and coins through some combination of their central banks and treasuries. Bank regulators influence money supply available to the public through the requirements placed on banks to hold reserves, how to extend credit and cther regulations. Economists analyse the money supply and develop policies revolving around it through controlling interest rates and increasing or decreasing the amount of money flowing in the economy. An increase in the supply of money typically lowers interest rates, which in turn, generates more investment and puts more money in the hands of consumers, thereby stimulating spending. Businesses respond by ordering more raw materials and increasing production. The increased business activity raises the demand for labour. The opposite can occur if the money supply falls or when its growth rate declines.

Answer the following questions based on the above paragraph:

1. Define Money.
2. What are the constituents of money supply?
3. Is money supply stock or flow? Give reason for your answer.
4. Which organisation issues currency in India?

Ans. 1. "Money is anything that is habitually and widely used as a means of payment and its generally acceptable in the settlement of debts".

2. Components of money supply: There are two main components of money supply, currency (or fiat money) and demand deposits.

3. Money supply is a stock concept similar to money demand. The total stock of money in circulation among the public at particular point of time is called money supply. The RBI publishes the money supply figures according to the stock of money circulating in public.
4. Reserve Bank of India.

CASE 3

Modern forms of money include currency-paper notes and coins. unlike the things that were used as money earlier, modern currency is not made of precious metal such as gold, silver and copper and unlike grain and cattle, they are neither of everyday use. The modern currency is without any use of its own. Then, why is it accepted as a medium of exchange? It is accepted as a medium of exchange because the currency is authorised by the government of the legalises the use of rupee as a medium of payment that cannot be refused in settling transactions in India. No individual in India can legally refuse a payment made in rupees. Hence, the rupee is widely accepted as a medium of exchange in the country. In India, the Reserve Bank of India issues currency notes on behalf of the central government. As per Indian law, no other individual or organisation is allowed to issue currency.

Answer the following questions based on the above paragraph:

1. What do you mean by legal tender?
2. What are the two types of legal tender?
3. What is the importance of giving monopoly of note issue to one organisation?
4. What is the major difference between currency and bank money?
5. Apart from medium of exchange what is the other primary function of money?

Ans. 1. Money which the state and people accept as the means of payment and for discharge of debts is known as legal tender. All notes and coins issued by the govt. and the central bank of a country are compulsorily a legal tender in that country.

2. Limited legal tender: It is a type of money through which payments can be made legally up to a certain limit only. All coins of the denominations of 5 paisa to 50 paisa are limited legal tender in India. Payments in them can be made up to a limit of 50 only.
Unlimited legal tender: A money is unlimited legal tender when payments can be made in it in unlimited amount. All paper notes and coins above 50 paise and 1 Rupee are unlimited legal tender in India.

3. Central bank is an apex bank that controls the entire banking system of a country. It is the sole agency of issuing currency in the form of notes and coins in the country.
The monopoly rights were given to central bank because it can have a control over the credits of the commercial banks through its monetary policy which includes various measures to control credit; it brings uniformity to the monetary system stating laws for the acceptance and usage of money and the management of paper money becomes easier due to the central banks as they design the paper notes with their seal on it so that it can not be counterfeited.

4.

S. No.	Basis	Currency	Credit money
1.	**Meaning**	It is a medium of exchange and issued by the central bank of the country.	It is created by the commercial banks by giving loans to their clients.
2.	**Nature**	It is a legal tender (the rupee notes and coins).	It is not a legal tender (since, one may not accept payment through cheques drawn on any commercial bank).

5. Measure of Value: Money serves as a unit of account. It measures the value of economic goods. Money works as a common denominator into which the values of all goods and services are expressed. When we express the value of a commodity in terms of money is known as price.

CASE 4

Commercial Banks demand deposits are part of money supply. Commercial banks lend money to the borrowers by opening demand deposit account in their names. The borrowers are free to use this money by writing cheques. According to definition, demand deposits are part of money supply. Therefore, by creating additional demand deposits, banks create money. Money creation depends on two factors: Primary deposit and legal reserves ratio (LRR).

Answer the following questions based on the above paragraph:

1. What do you mean by commercial bank?
2. Explain demand deposits created by a commercial bank.
3. What is legal reserve ratio?
4. What is credit creation and who creates it?

Ans. 1. A Commercial bank is that financial institution which accepts deposits from the people gives loans for various purposes and performs various agency functions.

2. Current Account: Current accounts are mainly meant for businessmen and are never used for the purpose of savings or investment. These deposits are the most liquid deposits and there are no limits for number of transactions or the amount of transactions in a day. The bank does not pay any interest on these deposits. On the other hand, banks charge certain service charges on such accounts. Cheque book facility is provided and the account holder can deposit all types of cheques and drafts in their name or endorsed in their favour by third parties.

3. LRR (Legal Reserve Ratio) refers to that legal minimum fraction of deposits which the banks are mandate to keep as cash with themselves. Legal Reserve Ratio has two variants: (1) Cash Reserve Ratio, and (ii) Statutory Liquidity Ratio.

4. Credit creation by a Commercial Bank. A commercial bank is a dealer of credit. It creates money based on cash deposits. Further, it issues new money through its loan operations and creates credit or expands the monetary base of a country.

QUESTIONS WITH HIGH DIFFICULTY LEVEL

1. What do you mean by high-powered money in an economy?
Or What is the monetary base or the reserve money of an economy?

Ans. The high-powered money refers to the total liability of the monetary authority (viz., the Central Bank) of the country.
It consists of:
(i) Currency held by the public,
(ii) Cash reserve with the commercial banks,
(iii) Required reserve of the commercial banks to be maintained with the Central Bank; and
(iv) Other deposits with the Central Bank.
This high-powered money is also called as the monetary base or the reserve money of the country.

2. How does fixation of margin required on secured loan practiced by the Central Bank, say, the Reserve Bank of India affect the flow of credit in the economy?
Ans. As a part of the selective or qualitative credit control policy, the Reserve Bank of India (RBI) fixes the margin required on secured loan provided by any commercial bank. This margin money policy aims at either restricting the flow of credit in some sector (by fixing higher margin money requirement) or encouraging the same in some priority sector (by fixing lower margin requirement, say, on loan given to small and marginal farmers).

3. What is bank rate? How does it influence the total money supply?
Ans. The bank rate is that discount rate at which the Central Bank of any country rediscounts any bill of exchange submitted by any commercial bank to take loans from the Central Bank. When the Central Bank increases the bank rate, the cost of borrowing credit money becomes higher for the commercial banks. So, commercial banks are then permitted to increase their lending rates. This discourages the investors to take loans from commercial banks, resulting in a fall in investment (and hence, the total supply of money) in the economy. In a similar fashion, when the bank rate is decreased then it leads to an increase in total money supply in an economy.

4. Explain briefly the qualitative/selective credit control policy of the Central Bank, say, the Reserve Bank of India.
Or Explain the fixation of margin required on secured loan' function of the Central Bank.
Ans. When credit control measures are imposed by the Central Bank, say, the Reserve Bank of India (RBI) to check the flow of credit on the basis of its quality, i.e., on the basis of the repayment capability of the person who has taken the loan or on the basis of its quality, i.e., on the basis of the repayment capability of the person who has taken the loan or on the basis of the purpose for which the loan is taken from commercial banks, they are called qualitative or selective credit control measures.
The RBI generally uses three types of selective credit control, instruments:
(i) Margin Money: This implies the minimum margins (say, 30% of the loan amount) to be kept by the borrowers with commercial banks while borrowing money against specific securities from commercial banks. In case of secured or less risky loans, the margin money requirement is kept at a low level.
(ii) Credit Authorisation: This shows the ceiling on the amount of credit for certain purposes (which needs prior sanction of the RBI).
(iii) Differential Rates of Interest (DRI): This scheme relates to the discriminatory rate of interest charged on certain lines of advances provided by commercial banks (say, relatively lower rates of interest on loan given to the poorer sections of the people).

5. What do you mean by cash reserve requirements (CRR)? How this credit control instrument can be used by the Central Bank, (say, the RBI) to check inflation and deflation?

Ans. According to the RBI Act, 1934, every commercial bank had to keep a certain minimum cash reserve with the Reserve Bank of India (RBI). This is known as Cash Reserve Requirements (CRR).

The RBI increases this cash reserve requirements during inflation. With a rise in the CRR, the amount of loanable funds with the commercial banks declines. Thus, the process of credit creation by the commercial banks is checked. It reduces the flow of money and the aggregate demand in an economy. Hence, inflationary pressure is checked. Similarly, the RBI reduces this CRR at the time of deflation.

6. Mention any two roles of the commercial banks in the economic system.

Ans. Banks are supposed to be the vital part of any modern economic system. Here, we can mention the following two
important roles played by banks in an economic system:

(i) Encouraging Savings: People keep their savings in banks. This inculcates the habit of savings in the general people. So, the expansion of the banking system stimulates savings in an economy.

(ii) Mobilisation of Savings for Investment: Banks also help the process of economic development in an economy. Through the mobilisation of small savings and channeling the same to productive investment. Thus, banks do the job of collecting savings from the savers and lending them out to investors for productive purposes.

7. Name the additional facility which the businessman gets in the current deposit account of the bank.

Ans. The businessman gets the facility of overdraft (OD) in the current account of the bank.

8. Money acts as a yardstick of standard measure of value to which all other things can be compared. Discuss it.

Ans. Money serves as a measure of value in terms of unit of account. Measurement of value was the main difficulty of the barter system. Introduction of money has removed this difficulty. It acts as a yardstick of standard measure of value to which all other things can be compared. Money measures the value of everything or the prices of all goods and services can be expressed in terms of money. This function of money also enables the trading firms to ascertain their costs, revenues, profits
and losses.

9. How do changes in primary deposits affect credit creation?

Ans. The increase or decrease in primary deposits increases or decreases the credit creation capacity of a commercial bank.

10. What are the estimates of 'narrow money' in an economy?

Ans. While estimating the constituents of money supply in an economy, M, and M_2 measure the 'narrow money'.

Here, M_1 = Rupee notes and coins with the public + demand deposits with the commercial banks + other deposits with the Central Bank.

M_2 = M1+ Postal savings bank deposits.

11. Name the system of note-issue in India.

Ans. In India, the system of note issue is the minimum reserve system. The RBI is required to keep minimum reserves of ₹200 crores.

12. What are open market operations? How do they affect availability of credit?

Ans. The act of purchase and sale of Government bonds/securities in the open market by the Central Bank is called open market operation. By selling the securities the Central Bank takes purchasing from the general public which led to contraction of credit and it reduces the availability of credit in the economy and by buying the securities, the Central Bank increases additional purchasing capacity in the system which results in expansions of credit.

13. Whether the following changes by the Reserve Bank will increase or decrease the money supply?
(i) Rise in bank rate.
(ii) Purchase of securities in the open market.
(iii) RBI increases the margin from 20% to 30%.
(iv) RBI reduces the cash reserve ratio.

Ans. Increase in money supply: (ii), (iv); Decrease in money supply: (i); (iii)

14. The Reserve Bank of India aims to make the credit costly for the general public in order to reduce the availability of credit. What should be done?

Ans. The Reserve Bank of India should increase the bank rate. An increase in bank rate increases the costs of borrowing from the Central Bank. It forces the commercial banks to increase their lending rates, which discourages borrowers from taking loans. It makes the credit costly for the general public and reduces the availability of credit.

15. Discuss the relation between Bank Rate and rate of interest.

Ans. Bank rate is the rate at which the Central Bank lends to commercial banks and rate of interest is the rate at which commercial banks lend to their customers. Bank rate and interest is the rate of interest is directly related. If there is an increase in the bank rate, then commercial banks will have to pay more for the financial accommodation by the Central Bank. As a result, they would raise the rate of interest. Similarly, easy availability of credit at a low bank rate would enable them to extend loans at reduced rate of interest.

WORKSHEET FOR SELF EVALUATION

1. What do you mean by legal tender? **(2 Marks)**
2. Differentiate between limited and unlimited legal tender. **(2 Marks)**
3. What is the relationship between money multiplier and LRR? **(2 Marks)**
4. When credit is to be expanded, what kind of bank rate policy should the Central Bank of a country follow? **(3 Marks)**
5. Discuss two contingent functions of money. **(4 Marks)**
6. Distinguish between money and near money. **(2 Marks)**
7. Giving reasons state whether the following statements are true or false: **(3 Marks)**
(i) My includes saving deposits with post offices.
(ii) Money helps in capital formation.
(iii) SBI is an apex financial institution in India.

8. What is banking? **(2 Marks)**
9. What are the different deposit accounts of a bank? **(4 Marks)**
10. What is selective credit control? **(2 Marks)**
11. What is cash credit system? **(2 Marks)**
12. What do you mean by overdraft facility? **(2 Marks)**
13. Differentiate between overdraft and loan facilities provided by a commercial bank. **(3 Marks)**
14. What is the difference between M, and M4 constitutes of money supply? **(3 Marks)**